Chapter 1: First Principles of Economics & Macroeconomic Systems

Principles of Macroeconomics Curriculum

2026

Abstract

This chapter provides a rigorous, pedagogical treatment of Chapter 1: First Principles of Economics & Macroeconomic Systems, benchmarked to standard principles curriculum.

Contents

1 The Twelve Principles of Macroeconomics **1**

2 The Paradox of Thrift **1**

3 Macroeconomic Circular Flow Identity **1**

1 The Twelve Principles of Macroeconomics

Macroeconomics rests upon systemic feedback loops where aggregate outcomes diverge from individual decisions.

2 The Paradox of Thrift

When households collectively attempt to raise savings during a recession, aggregate consumption contracts. Because one person's spending is another's income, national income falls until dollar savings stagnate or decline.

3 Macroeconomic Circular Flow Identity

$$Y \equiv C + I + G + NX = \text{Factor Payments (Wages + Rent + Interest + Profit)} \tag{1}$$

Leakages $(S + T + M)$ identically equal Injections $(I + G + X)$ in equilibrium.